

You're able to meet your financial obligations. While your money is busy working and growing for you in the stock market over the long-term, life goes on in the meantime. That means you still have budgets to create and bills to pay. So, before you start investing, you want to make sure you are able to comfortably meet your financial obligations like covering your day-to-day needs and overall living expenses without having to go into debt in order to survive.

You have emergency savings in place. Your emergency fund is there to ensure that you are able to weather life's storms, like a job loss or other unplanned situations. This fund is essentially a backup plan so you don't have to leverage debt or derail your financial goals when these circumstances arise (which they will, because life happens). Establishing your emergency savings should take priority over investing. Ideally, you want to have three to six months of your basic living expenses put aside before you start dedicating money to investing. But before you think this is unattainable, it's important to know that this is referring only to your *basic* living expenses. Essentially, how much do you need at a minimum to pay for your housing, core utilities, food, and transportation? That number sounds more attainable, right? If you have high-interest debt to focus on, then start with \$1,000 in emergency savings while the bulk of your money goes to the debt. This can be saved up fairly quickly and can cover the most basic unplanned situations.

You have paid off your high-interest debt. Once you have your emergency savings in place, it's time to create a budget and get aggressive with paying down your debt, starting with any high-interest debt you might have. This is important because as we discussed before, interest on debt will compound, and this effect from compounding is essentially like digging a hole with an automatic shovel. Unless you focus on paying off your debt fast (and by that I mean as much as you can possibly afford above the minimum required payment each month), that hole will only keep getting deeper. Your high-interest debt and that damn automatic shovel are the enemy. Attack!